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Australia Materials | Asia Pacific

China and the Miners

Our monthly report summarizes key data/charts from China to give investors quick insights into China's macroenvironment and its demand for mineral resources.

China view – Energy Shock and Weaker Consumption: Our China economics team notes that April activity slowed more sharply than expected, weighed by the oil shock impacting energy-intensive sectors and broad-based consumption weakness, with retail sales dropping to a record low ex-Covid and property showing no signs of stabilization despite selective gains in top-tier secondary markets. While export-linked production (EVs, machinery, tech) remained resilient on AI-led global capex strength, they cut 2Q GDP tracking by 20bps to 4.5%Y, and expect a recovery toward 5%Y in 2H as the oil shock fades and exports stay strong, although consumption is likely to lag amid weak labour markets, fading policy support, and ongoing property adjustment (see [here](#)).

Macro – Production Declines for Majority: China's IP was 4.1% YoY in April (Mar 5.7%); April PMI was 50.3 (Mar 50.4). April CPI was 1.2% YoY (Mar 1.0%). New property starts fell 27.1% YoY in April (Mar -17.1% YoY) and GFA sold fell 10.3% YoY in April (Mar -8.0% YoY). Our China property team notes that while secondary home sales in top-tier cities exceeded expectations in March–April, momentum has slowed sharply in May, with divergence widening across cities as lower-tier markets continue to weaken in both listings and prices. Combined with fragile sentiment and fading policy support, they remain cautious on the rebound's durability, although near-term declines may stay modest on favorable base effects. FAI was down 9.4% YoY in April (Mar +1.6% YoY). April aluminum production was up 3.1% YoY to 3.9mnt, reflecting capacity resumption in Liaoning.

Commodities data – Steel Exports Slowed: Steel exports in April decreased 9% YoY to 9.5mnt, and crude steel output was down 2.8% YoY in April, while domestic steel apparent consumption fell 3.1% YoY. China's iron ore imports were up 1% YoY in April to 104mnt. Port inventories started to draw slowly during the month but remain elevated.

How are we positioned? BHP.AX remains our preferred diversified exposure, supported by low-cost WAIO cash generation with accretive 330Mtpa expansion optionality, Copper SA valuation upside, potential for further asset crystallisation, and stronger long term growth profile than peers (see our recent insight note [here](#)). Our iron ore order of preference: BHP.AX (OW), DRR.AX (OW), RIO.AX (EW), then FMG.AX (UW). In coal, WHC.AX (OW) is most preferred (#1 in our OOP, see our 2Q Strategy), supported by potential gas-to-coal switching in North Asia and tight met coal following the major coal mine accident in Shanxi, triggering safety inspections. We remain OW S32.AX for base metals exposure, with aluminium supported by supply disruption, high energy prices and a slower Indonesian ramp. In lithium, we see some merit in taking profits; we are EW PLS, remaining preferred over IGO (UW), with the Greenbushes LOM plan still a key uncertainty.

MORGAN STANLEY AUSTRALIA LIMITED+

Rahul Anand, CFA

Equity Analyst

R.Anand@morganstanley.com

+61 2 9770-1136

Michael A Stancliff

Research Associate

Michael.Stancliff@morganstanley.com

+61 2 9770-9253

AUSTRALIA MATERIALS

Asia Pacific

Industry View

Attractive

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 Boss Energy Ltd: Updating Estimates and Price Target (1 May 2026)
 Mineral Resources Limited: Updating Estimates (30 Apr 2026)
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Industrial Production Data and Trade Data

IP data:

New starts were down 27.1% YoY in April, and GFA sold fell 10.3% YoY, while property completions were down 19.0% YoY. [Our China property team](#) notes that while secondary home sales in top-tier cities exceeded expectations in March–April, momentum has slowed sharply in May, with divergence widening across cities as lower-tier markets continue to weaken in both listings and prices. Combined with fragile sentiment and fading policy support, they remain cautious on the durability of the rebound, although near-term declines may stay modest on favorable base effects.

Domestic steel apparent consumption decreased 3.1% YoY in April, together with a 9% decline in net exports while key steel mills production was down 5.7% YoY in April.

April aluminum production was up 3.1% YoY, to 3.9mnt. The slight MoM increase in production volume was mainly due to capacity resumption in Liaoning province. Currently, the total operating capacity in China has reached 45.3mnt, which is at the ceiling imposed by China's government with limited upside.

April coal production was down 1% YoY and down 12.5% MoM to 386mnt. The MoM drop in coal volume mainly reflected the seasonal decline, as the winter heating season ended in March. Total coal production increased 1.2% YoY YTD. Thermal power generation rose 3.1% YoY in April to 463.8bn kWh, accounting for 62% of total power generation vs. 66% in Mar-26 as hydro power generation gradually picked up moving towards the rainy season.

Trade data:

Iron ore imports were up 1% YoY in April to 104Mt. Port inventories in China started to draw slowly during the month but remain elevated. Pig iron production at steel mills is down 4% YTD.

Coal imports decreased 13% YoY and 15% MoM in April to 33Mt. Total YTD coal imports in 4M26 were down by 2% YoY to 149mnt. The decline in coal imports reflected the seasonal decline in demand in slow consumption season and higher imported coal prices.

The following material was published in a report titled: [China Materials: April IP Data: Production Declines for Majority \(18 May 2026\)](#)

Property – New starts fell 27.1% YoY in April (vs. -17.1% YoY in March). GFA sold fell 10.3% YoY (vs. -8% YoY in March) and property completions were down 19% YoY (vs. -19.3% YoY in March), all based on restated data for 2025. While secondary real-time home sales in select high-tier cities beat market expectations in March–April, [our China property team](#) notes a rapid deceleration so far in May. Also, they note further divergence among cities in terms of secondary listing volume and listing prices, with select tier-2 and low-tier cities continuing to worsen. Together with still-fragile resident sentiment and diminishing effects of recent city-level policies, the team remains prudent about the durability of the

sales rebound, although the drops may remain narrow in coming months on favorable bases.

FAI was down 9.4% YoY in April 26 (vs. +1.6% YoY in March). Highway FAI slipped 18.1% YoY in April.

Crude steel output was -2.8% YoY in April (vs. -6.3% YoY in March). 4M26 production was down 4.1% YoY. We estimate domestic steel apparent consumption was down 3.1% in April (vs. -7.1% YoY in March), together with a 9% decline in net exports.

Cement production was -10.8% YoY in April (vs. -21% YoY in March). 4M26 production was down 8.6% YoY. Output YoY decline is narrowing in May due to lower base numbers. The cement price hikes in east China continued to decline in April-May due to weak downstream demand and wet weather conditions.

Aluminum production was up 3.1% YoY and 0.5% MoM to 3.9mnt in Apr 26. The slight MoM increase in production volume was mainly due to capacity resumption in Liaoning province. Currently, the total operating capacity in China has reached 45.3mnt, which is at the ceiling imposed by China's government with limited upside. Constrained by the limited supply increase, aluminum smelters saw solid margins >Rmb8,600/t in April.

Coal production was down 1% YoY and down 12.5% MoM to 386mnt in April 2026. The MoM drop in coal volume mainly reflected the seasonal decline, as the winter heating season ended in March. Total coal production increased 1.2% YoY YTD. Thermal power generation rose 3.1% YoY in April to 463.8bn kWh, accounting for 62% of total power generation vs. 66% in Mar-26 as hydro power generation gradually picked up moving towards the rainy season.

Exhibit 1: April 2026 industrial production data

Apr 2026 Production Data	Growth rate trend	Apr 2026	MoM Apr 2026	YoY Apr 2026	Mar 2026	Jan+Feb 2026	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	May-25	Apr-25	2025
Crude steel (Mnt)		83.6	-3.9%	-2.8%	-6.3%	-3.6%	-10.3%	-10.9%	-12.1%	-4.6%	-0.7%	-4.0%	-9.2%	-6.9%	0.0%	-4.4%
Finished steel (Mnt)		122.6	-6.4%	-1.7%	-2.3%	-1.1%	-3.8%	-2.6%	-0.9%	5.1%	9.7%	6.4%	1.8%	3.4%	6.6%	3.1%
Cement (Mnt)		145.7	18.4%	-10.8%	-21.0%	6.8%	-6.6%	-8.2%	-15.8%	-8.6%	-6.2%	-5.6%	-5.3%	-8.1%	-5.3%	-6.9%
Aluminum (Mnt)		3.9	0.5%	3.1%	2.7%	3.0%	3.0%	2.5%	0.4%	1.8%	-0.5%	0.6%	3.4%	5.0%	4.2%	2.4%
Glass (mn wt cases)		72.8	-4.6%	-7.9%	-6.6%	-3.5%	3.4%	3.7%	3.3%	-9.7%	-2.0%	-3.4%	-4.5%	-5.7%	-4.6%	-3.0%
Coal production (Mnt)		385.6	-12.5%	-1.0%	0.0%	-0.3%	-1.0%	-0.5%	-2.3%	-1.8%	-3.2%	-3.8%	3.0%	4.2%	3.8%	1.2%
Thermal power generation (kWh bn)		463.8	-12.9%	3.1%	4.2%	3.3%	-3.2%	-4.2%	7.3%	-5.4%	1.7%	4.3%	1.1%	1.2%	-2.3%	-1.0%
FAI, % YoY		-9.4%	-11.0ppt	-9.4%	1.6%	-4.4%	-15.1%	-12.0%	-12.2%	-7.1%	-7.1%	-5.3%	-0.1%	2.7%	3.5%	-3.8%
IP, %, YoY		4.1%	-1.6ppt	4.1%	5.7%	6.3%	5.2%	4.8%	4.9%	6.5%	5.2%	5.7%	6.8%	5.8%	6.1%	5.9%
Property																
FS starts (mn sqm)		35.3	-33.3%	-27.1%	-17.1%	-23.1%	-19.3%	-27.7%	-29.3%	-15.0%	-19.8%	-15.2%	-9.5%	-18.7%	-22.3%	-20.5%
FS sold (mn sqm)		57.3	-44.0%	-10.3%	-8.0%	-13.5%	-16.6%	-17.9%	-19.6%	-11.9%	-11.0%	-8.4%	-6.6%	-4.6%	-2.9%	-9.5%
FS completions (mn sqm)		21.0	-39.6%	-19.0%	-19.3%	-27.9%	-18.4%	-25.4%	-27.9%	0.4%	-21.3%	-29.4%	-2.2%	-19.1%	-28.2%	-18.2%
Investment (Rmb bn)		624.9	-22.9%	-20.1%	-11.7%	-10.3%	-36.8%	-31.4%	-23.2%	-21.3%	-19.9%	-17.1%	-12.4%	-12.4%	-11.5%	-17.4%
Infrastructure FAI																
Highway (Rmb bn)*		280.6	-46.3%	-18.1%	5.6%	-0.6%	-18.4%	-8.7%	-15.4%	0.9%	-11.6%	-16.6%	3.4%	1.1%	-2.7%	-6.0%

Source: National Bureau of Statistics, Morgan Stanley Research. *Note: Railway and highway FAI growth is rebased.

The following material was published in our recent report: [China Materials: April Trade Data: Aluminium Exports Start to Rise \(10 May 2026\)](#)

Steel exports in April decreased 9% YoY but improved 4% MoM to 9.5Mt, which is slower than we expected. We think steel billets export may grow quickly in April. Daily production of CISA member mills decreased 5.7% YoY in April (vs -6.1% YoY in March).

China's imports of copper and copper products (refined + alloys) were 452kt in April, up 9% MoM and 3% YoY. A pullback in the copper price in March encouraged Chinese buyers to re-engage, with the import arbitrage opening briefly. Despite the higher imports,

inventories drew strongly during the month, potentially driven by downstream restocking. The Yangshan premium held between \$60 and \$75/t during the month. Copper ore and concentrate imports fell 11% MoM and 20% YoY to 2.35 mln tonnes as treatment charges fell, although strong sulphuric acid prices supported smelter margins.

Aluminium and product exports rose 23% MoM and 15% YoY to 598kt in April to the highest level since November 2024. Supply disruptions in the Middle East drove ex-China tightness and took LME prices higher, widening the export arbitrage. Despite these strong exports, Chinese aluminium inventories rose to all-time highs, and have not yet started to draw.

China's iron ore imports totalled 104Mnt in April, down 1% MoM and up 1% YoY. Port inventories in China started to draw slowly during the month but remain elevated. Pig iron production at steel mills is down 4% YTD. China lifted the ban on procuring BHP's seaborne cargoes including previously restricted products during the month which may ease some of the tightness.

Coal imports were down 13 % YoY and 15% MoM in April 2026, to 33mnt. Total YTD coal imports in 4M26 were down by 2% YoY to 149mnt. The decline in coal import reflected the seasonal decline in demand in slow consumption season and higher imported coal prices. May coal imports may see some rebound MoM on restocking at power plants in China to prepare for the upcoming peak consumption in summer. The improved demand would support coal prices to further go up in the near term.

Exhibit 2: China: April 2026 trade data

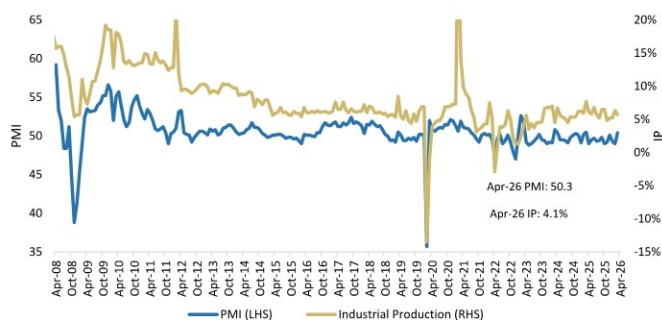
Apr 2026 Trade data	Apr 2025 - Apr 2026	Apr-26	Mar-26	Jan+Feb 2026	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	May-25	Apr-25	2026YTD
Finished Steel Imports (kt)		465	512	827	517	496	503	548	500	452	470	481	522	1,804
Change %, YoY		-11%	2%	-21%	-17%	5%	-6%	-1%	-2%	-10%	-18%	-24%	-21%	-13%
Change %, MoM		-9%	39%	NA	4%	-1%	-8%	10%	11%	-4%	-2%	-8%	4%	NA
Finished Steel Exports (kt)		9,498	9,135	15,591	11,301	9,980	9,782	10,465	9,510	9,836	9,678	10,578	10,462	34,214
Change %, YoY		-9%	-13%	-8%	16%	8%	-13%	3%	0%	26%	11%	10%	13%	-10%
Change %, MoM		4%	17%	NA	13%	2%	-7%	10%	-3%	2%	-9%	1%	0%	NA
Iron Ore Imports (mnt)		104	105	210	120	111	111	116	105	105	106	98	103	419
Change %, YoY		1%	11%	10%	6%	9%	7%	12%	4%	2%	9%	-4%	1%	8%
Change %, MoM		-1%	7%	NA	8%	-1%	-4%	11%	1%	-1%	8%	-5%	10%	NA
Copper and Products Imports (kt)		452	416	700	437	427	438	485	425	480	464	427	438	1,567
Change %, YoY		3%	-11%	-16%	-22%	-19%	-13%	1%	2%	10%	6%	-17%	0%	-10%
Change %, MoM		9%	32%	NA	2%	-3%	-10%	14%	-11%	3%	9%	-3%	-6%	NA
Copper Ores & Concentrates Imports (kt)		2,352	2,630	4,934	2,704	2,526	2,451	2,587	2,759	2,560	2,350	2,395	2,924	9,915
Change %, YoY		-20%	10%	5%	7%	13%	6%	6%	7%	18%	2%	6%	25%	-1%
Change %, MoM		-11%	14%	NA	7%	3%	-5%	-6%	8%	9%	-2%	-18%	22%	NA
Aluminum and Products Exports (kt)		598	485	971	545	570	503	521	534	542	489	547	518	2,053
Change %, YoY		15%	-4%	13%	8%	-15%	-13%	-7%	-10%	-8%	-20%	-3%	0%	9%
Change %, MoM		23%	13%	NA	-4%	13%	-3%	-2%	-1%	11%	-11%	6%	2%	NA
Coal Imports (mnt)		33	39	77	59	44	42	46	43	36	33	36	38	149
Change %, YoY		-13%	1%	1%	12%	-20%	-10%	-3%	-7%	-23%	-26%	-18%	-16%	-2%
Change %, MoM		-15%	26%	NA	33%	6%	-9%	8%	20%	8%	-8%	-5%	-2%	NA

Source: General Administration of Customs, Morgan Stanley Research.

China – Macro Monitor

- April PMI +50.3 (Mar +50.4). April Industrial production was +4.1% YoY (Mar +5.7%).
- April CPI rises 1.2% YoY (1% Mar), while PPI increased 2.8% YoY (0.5% Mar).
- Power generation rises 2.6% YoY in April vs. a rise of 1.4% YoY in Mar.
- M2 supply in April was up 8.6% YoY (Mar +8.5% YoY).

Exhibit 3: Chinese PMI and IP



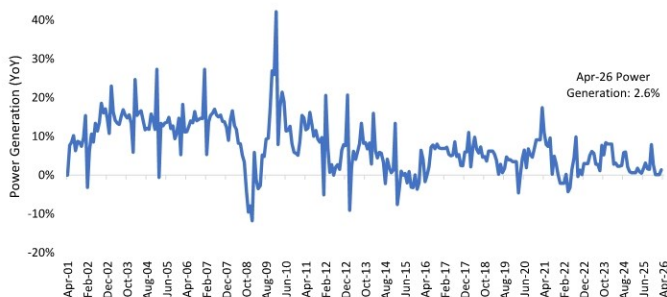
Source: Refinitiv, Morgan Stanley Research.

Exhibit 4: Chinese CPI and PPI



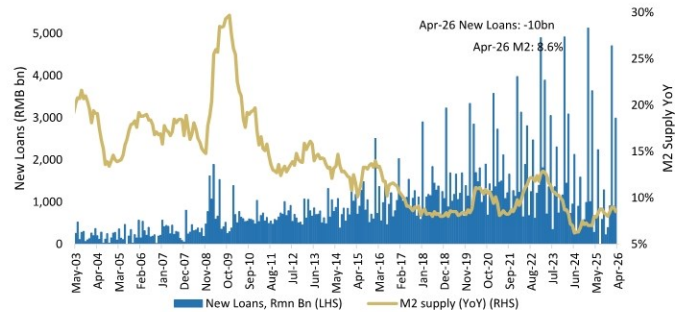
Source: Refinitiv, Morgan Stanley Research.

Exhibit 5: Chinese power generation



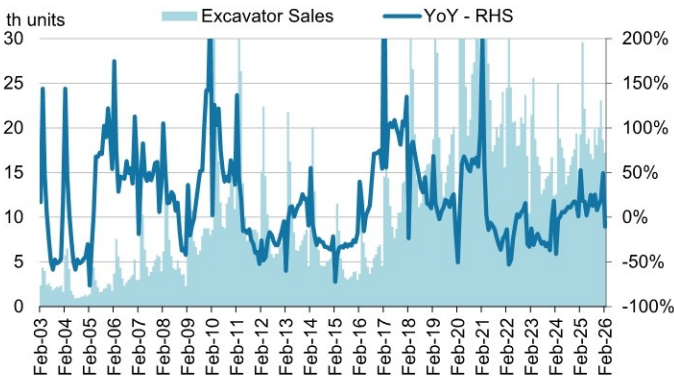
Source: Refinitiv, Morgan Stanley Research.

Exhibit 6: Chinese new loans and M2 supply



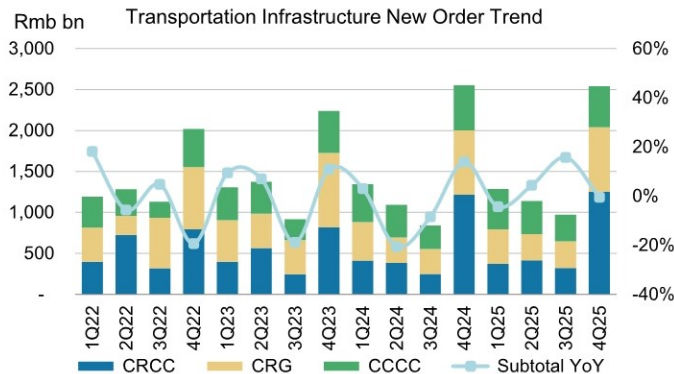
Source: Refinitiv, Morgan Stanley Research.

Exhibit 7: China – Excavator sales



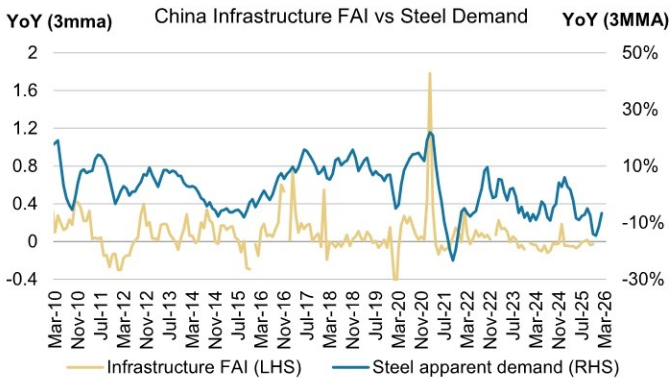
Source: CEIC, Morgan Stanley Research.

Exhibit 9: Transportation infrastructure new orders reported by large infrastructure construction groups



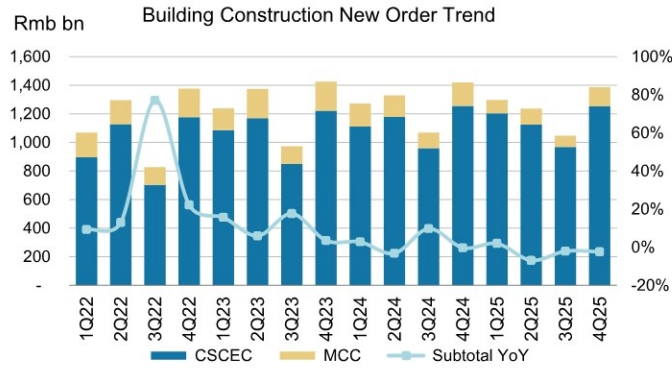
Source: Company data, Morgan Stanley Research.

Exhibit 8: China – infrastructure spending



Source: CEIC, Morgan Stanley Research.

Exhibit 10: Building construction new order trend for CSCEC and MCC



Source: Company data, Morgan Stanley Research.

China – Property Update

Mixed April Data

Home sales declines narrowed in April on a low base. We expect the recent strength in secondary home sales to moderate in coming months, given still-elevated inventory, weak buyer sentiment, and limited improvement in household income and leverage. We recommend waiting for greater clarity and remaining selective on stock picks.

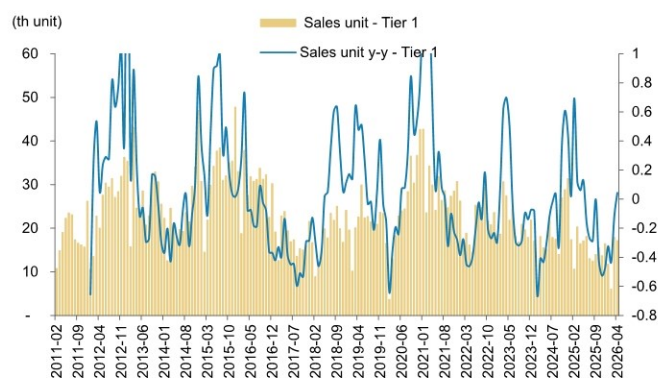
See: [China Property: Monthly Tracker: Mixed April Data; We Stay Prudent on Sales Recovery \(21 May 2026\)](#)

Exhibit 11: China – Property sales and new starts



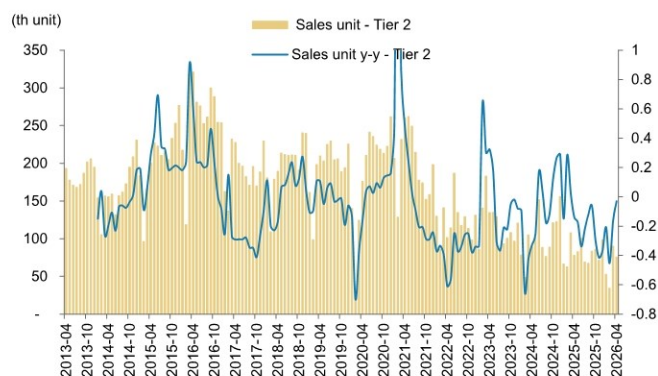
Source: CEIC, Morgan Stanley Research.

Exhibit 12: Chinese Property – Monthly units sold in Tier 1 cities



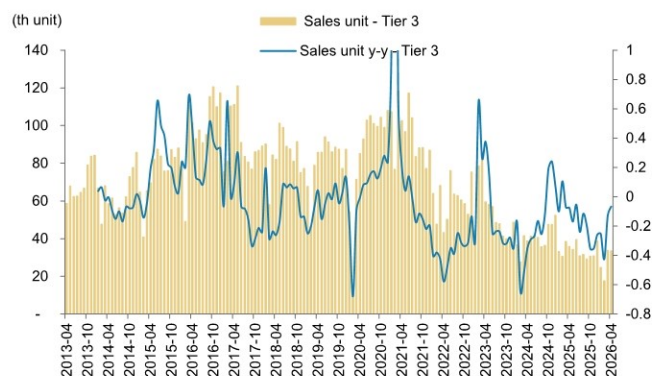
Source: CREIS, Morgan Stanley Research.

Exhibit 13: Chinese Property – Monthly units sold in Tier 2 cities



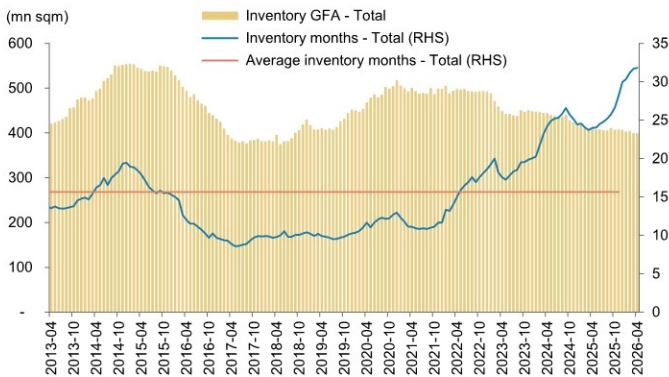
Source: CREIS, Morgan Stanley Research

Exhibit 14: Chinese Property – Monthly units sold in Tier 3 cities



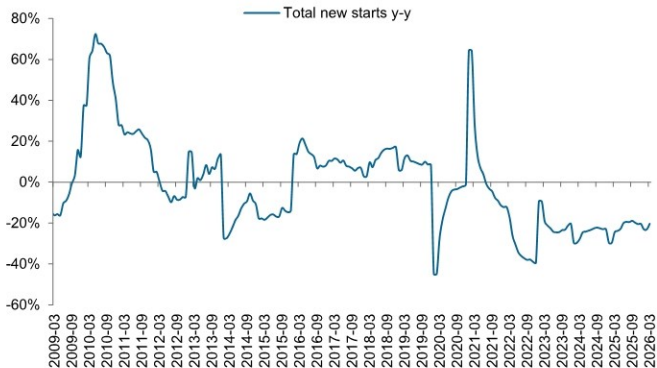
Source: CREIS, Morgan Stanley Research

Exhibit 15: Chinese Property – Total inventory months



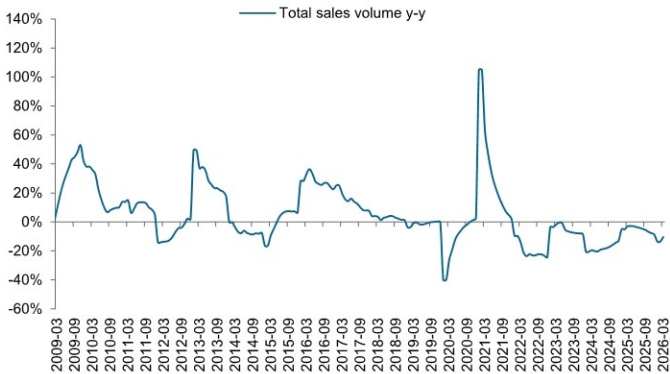
Source: CREIS, Morgan Stanley Research.

Exhibit 16: Chinese Property – YTD new starts, by city tier



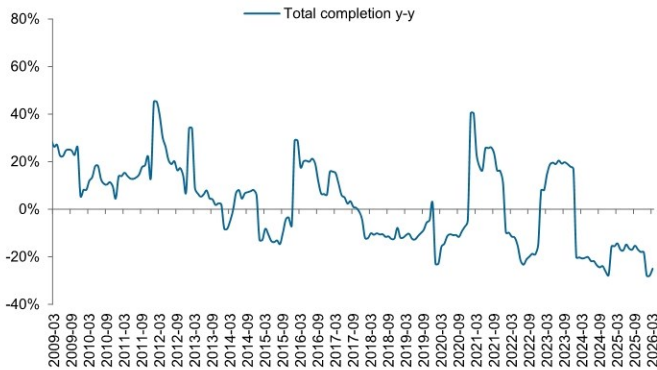
Source: NBS, CEIC, Morgan Stanley Research. Note: The tiered cities include four tier 1 cities: Beijing, Shanghai, Guangzhou, Shenzhen; 15 tier 2 cities: Fuzhou, Nanchang, Tianjin, Chongqing, Chengdu, Hangzhou, Nanjing, Wuhan, Suzhou, Dalian, Shenyang, Qingdao, Jinan, Xiamen, Xi'an; and nine tier 3 cities: Dongguan, Guiyang, Wenzhou, Baotou, Bangbu, Huizhou, Sanya, Zhongshan, Shaoguan.

Exhibit 17: Chinese Property – YTD sales



Source: NBS, CEIC, Morgan Stanley Research.

Exhibit 18: Chinese Property – YTD completion



Source: NBS, CEIC, Morgan Stanley Research.

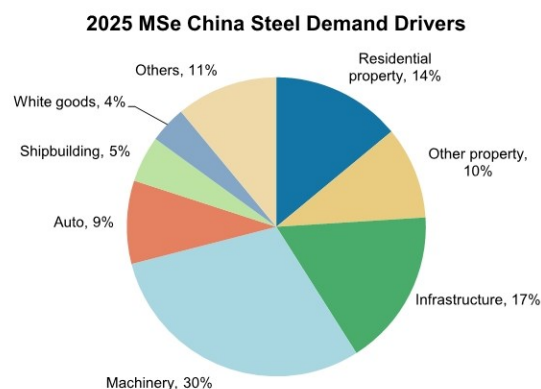
China – Steel and Iron Ore Update

April Regional Prices Tighten in Spite of Rising China Exports

China's April finished-steel net exports rose ~8% MoM day-adjusted to 9.0mt (~110mtpa), but remain ~9% lower YoY. Europe is increasingly insulated as imports are constrained, regional HRC premiums widen and CBAM/safeguards reinforce price floors and EBITDA/t upside.

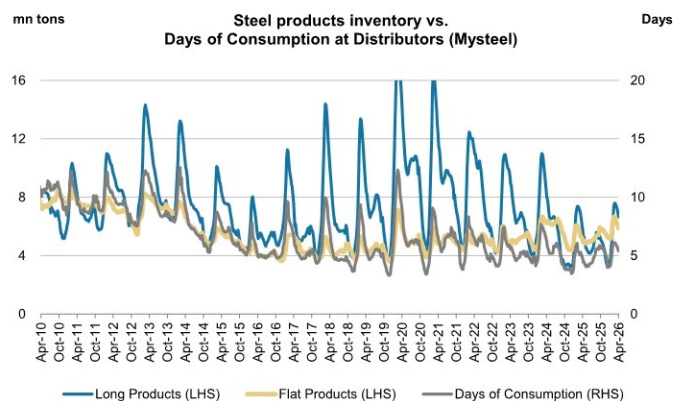
See: [China Steel Exports: April - Regional Prices Tighten in Spite of Rising China Exports \(11 May 2026\)](#)

Exhibit 19: Consumption of steel in China



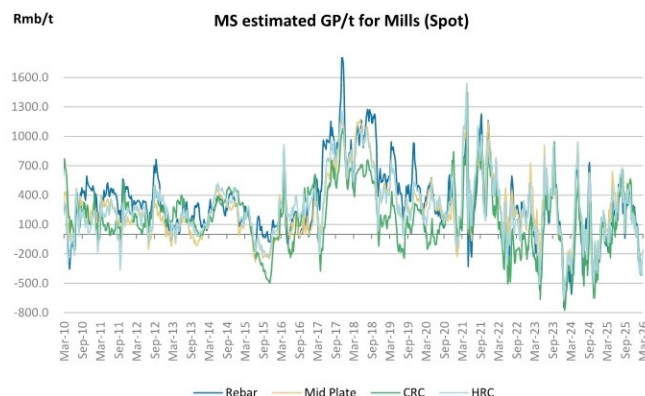
Source: Antaike, Morgan Stanley Research (MSe)

Exhibit 20: Steel product inventory at distributors



Source: Mysteel, Morgan Stanley Research.

Exhibit 21: GP/t for mills at spot prices



Source: Bloomberg, Morgan Stanley Research.

Exhibit 22: Total steel inventory in China (traders + mills)



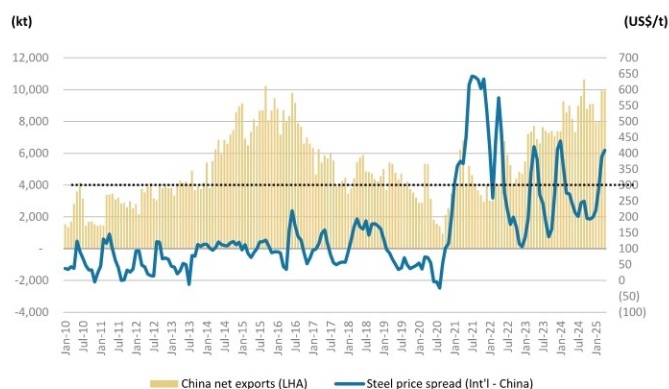
Source: Mysteel, CISA, Morgan Stanley Research.

Exhibit23: Spread between Chinese export prices and domestic prices

Source: Bloomberg, Morgan Stanley Research.

Exhibit24: Shanghai steel futures prices

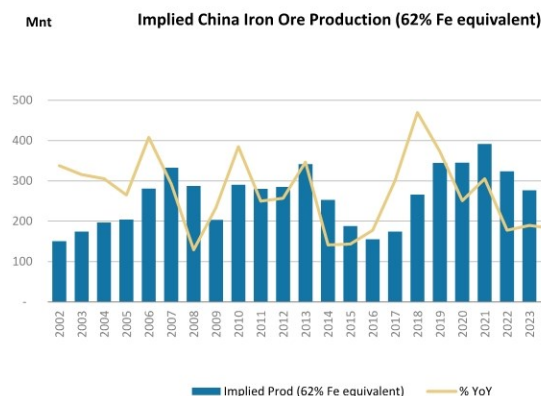
Source: Bloomberg, Morgan Stanley Research.

Exhibit25: Chinese exports vs. international HRC price spread

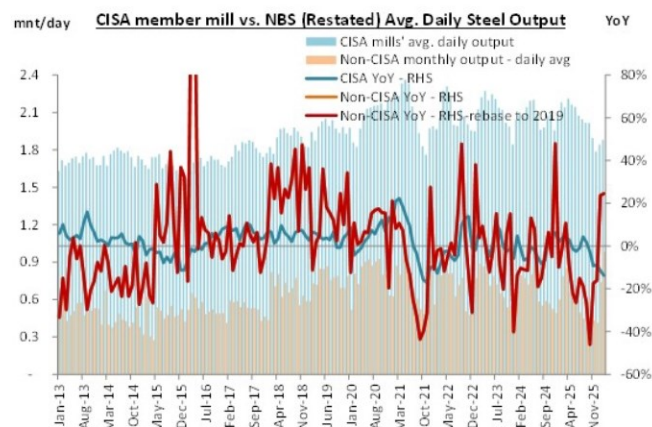
Source: Bloomberg, Morgan Stanley Research.

Exhibit26: Asian steel contract prices vs. East Asian spot

Source: Bloomberg, Morgan Stanley Research.

Exhibit27: Implied China iron ore production (62% Fe equivalent)

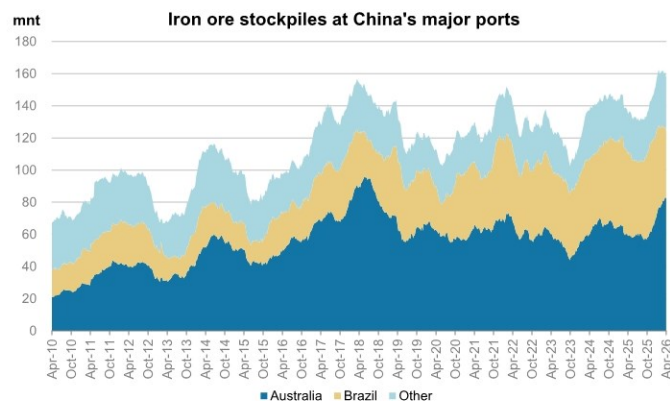
Source: CEIC, Morgan Stanley Research.

Exhibit 28: CISA member mill vs. NBS (restated) average daily steel output

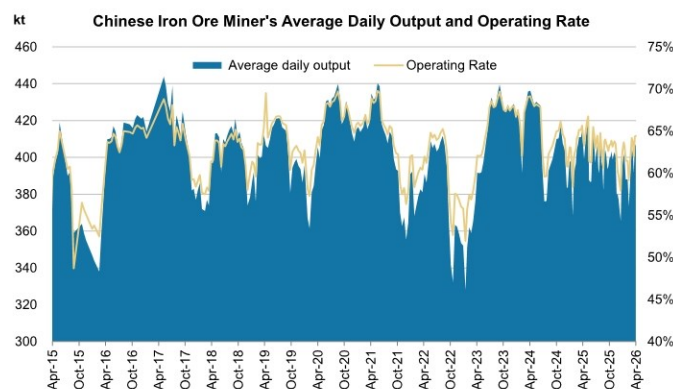
Source: CISA, CEIC, Morgan Stanley Research.

Exhibit29: China – Iron ore prices

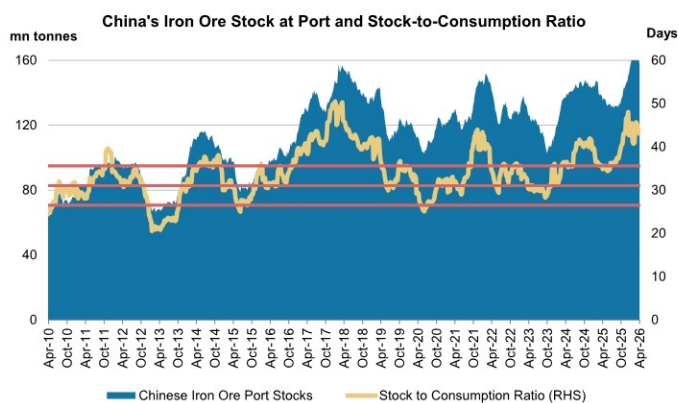
Source: Datastream, Morgan Stanley Research.

Exhibit30: Iron ore inventories at China's major ports

Source: MySteel, Morgan Stanley Research.

Exhibit31: Chinese iron ore miners' average daily output and operating rate

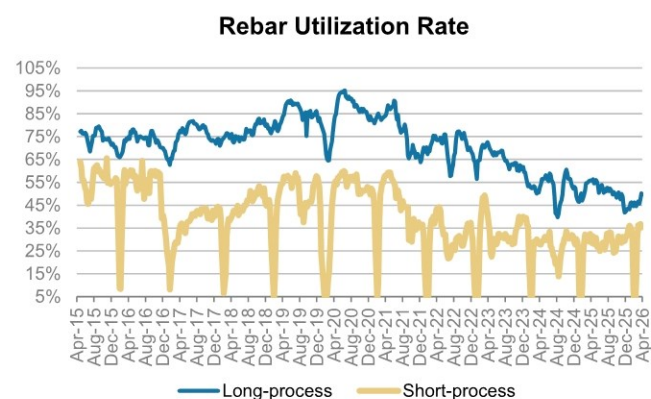
Source: MySteel, Morgan Stanley Research.

Exhibit 32: China's iron ore stock at ports and stock-to-consumption ratio

Source: Mysteel, NBS, CEIC, Morgan Stanley Research.

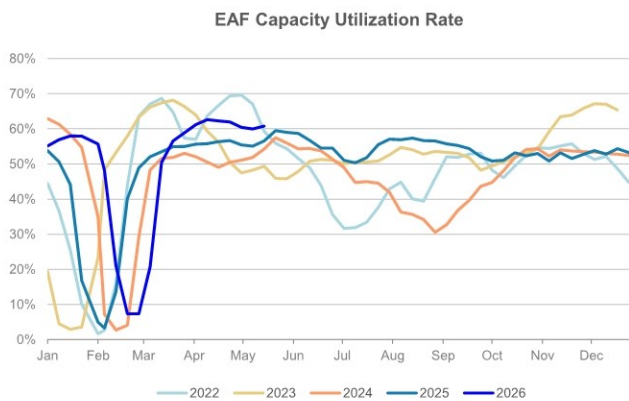
Exhibit33: Brazilian and West Australian freight rates

Source: Bloomberg, Morgan Stanley Research

Exhibit34: Rebar utilization rate

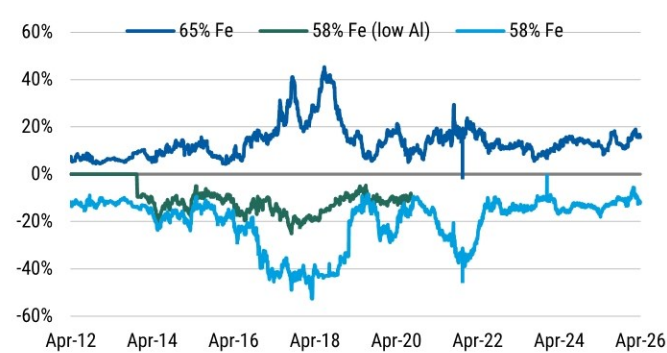
Source: Mysteel, Morgan Stanley Research

Exhibit35: Electric arc furnace (EAF) capacity utilization rate



Source: MySteel, Morgan Stanley Research.

Exhibit 36: Iron ore prices: -discount/+premium vs. 62% Fe (%)



Source: Morgan Stanley Research, Tex Report, Platts; Note: Sourced from our Commodities team

China – Coal Update

Domestic Coal Prices Firm as Summer Demand Outlook Supports Further Upside

Thermal coal prices in China continued to recover modestly, rising WoW alongside stronger mine-mouth prices in Datong, while seaborne prices declined. Domestic coking coal prices were also broadly firmer, with gains at Liulin and higher FOR prices, partially offset by a slight dip in Queensland export prices. April coal production declined seasonally (down 1% YoY and 12.5% MoM), following the end of the winter heating season, though YTD output remains marginally higher. Looking ahead, the outlook remains constructive as summer cooling demand is expected to lift thermal power generation, with relatively low power plant inventories providing additional support to domestic coal prices.

See: [China Coal: Weekly Coal Update: Coal Production Declined Seasonally in May \(18 May 2026\)](#)

The following material was published in the report titled: [China Coal: Weekly Coal Update: Coal Production Declined Seasonally in May \(18 May 2026\)](#)

Exhibit 37: Chart of the week – China: Monthly Coal Production



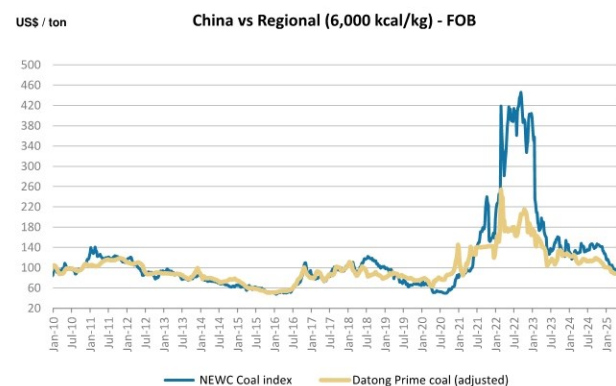
Source: Sxcoal, Morgan Stanley Research.

Exhibit 38: Data for the week

		15-May	WoW	YTD	YTD avg	'25 avg	YTD vs '25
Regional							
NEWC thermal coal	US\$/ton	130	-1.5%	19.3%	124	106.6	16.6%
QLD coking coal	US\$/ton	239	-0.4%	9.6%	231	189.0	22.4%
China							
QHD 5500 kcal/kg	Rmb/ton	715	0.3%	2.9%	695	684	1.5%
CCI 5500 kcal/kg	Rmb/ton	835	1.3%	22.4%	743	864	-14.0%
BSPI	Rmb/ton	704	0.3%	1.3%	690	682	1.1%
Liulin No. 4 mine-mouth	Rmb/ton	710	2.9%	6.0%	686	641	7.0%
Liulin No. 4 FOR	Rmb/ton	1,640	1.9%	3.8%	1,567	1,399	12.1%
QHD Inventory	mt	5.92	1.0%	-15.1%	5.97	6.37	-6.3%

Note: QLD = Queensland; QHD = Qinhuangdao; CCI = China Coal Index; BSPI = Bohai-Rim Steam-Coal Price Index; FOR = Free on Rail. Source: China Coal Transport and Distribution Association (CCTD), McCloskeys, Morgan Stanley Research.

Exhibit 39: China vs. regional FOB thermal coal prices



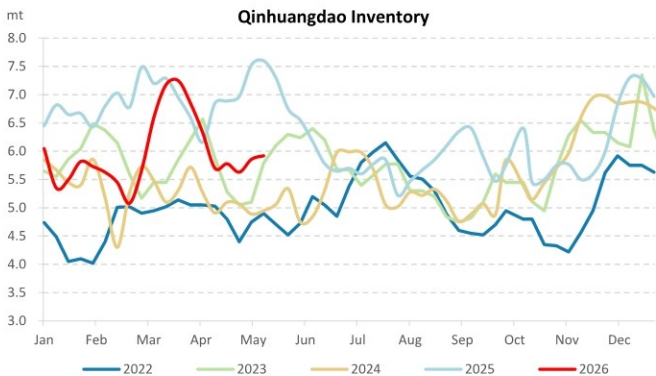
Source: Bloomberg, CCTD, Morgan Stanley Research.

Exhibit 40: China's coking coal prices – Mine-mouth vs. FOR



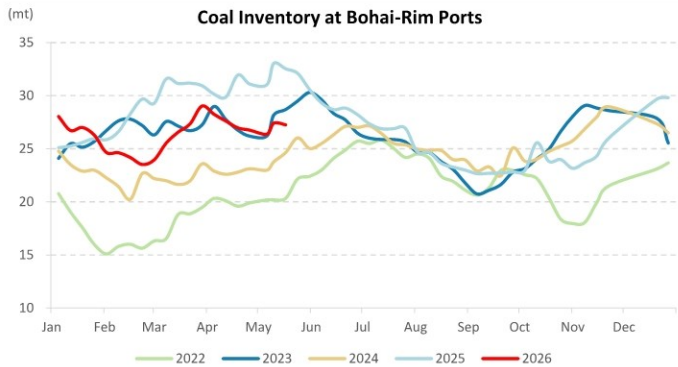
Source: Bloomberg, CCTD, Morgan Stanley Research

Exhibit41: Coal inventory at QHD port



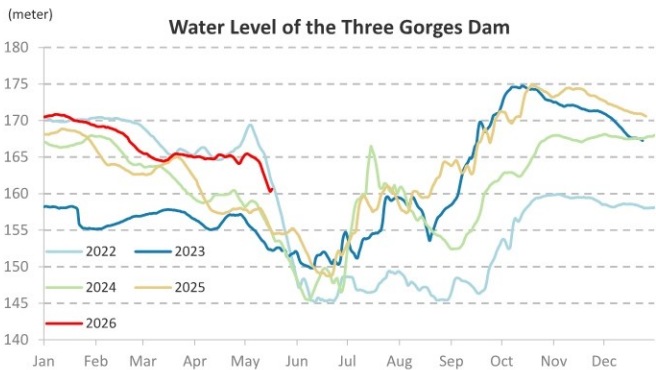
Source: CCTD, Morgan Stanley Research

Exhibit 42: Coal inventory at Bohai Rim ports



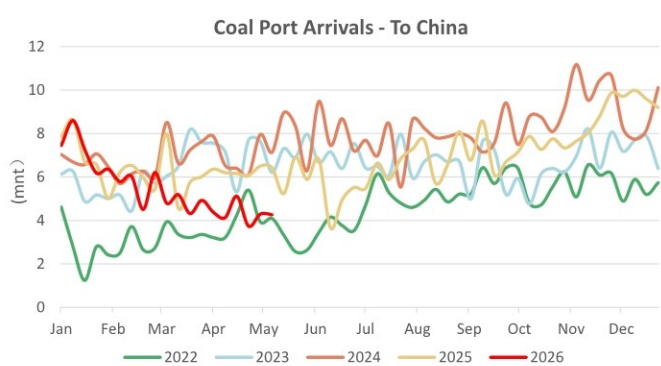
Source: CCTD, Morgan Stanley Research. Note: Bohai Rim Ports include QHD Port, Huanghua Port, Tianjin Port, Caofeidian Port, and Jingtang Port..

Exhibit 43: Water level of Three Gorges Dam



Source: Wind, Morgan Stanley Research

Exhibit 44: China's weekly coal arrivals



Source: Bloomberg, Morgan Stanley Research

Major Theme of the Month

Tighter Copper Scrap Market in China?

China's output of refined copper and semi-finished products has grown more reliant on scrap, but availability is being limited by domestic policy while global scrap trade is changing too. This brings upside risks to copper prices, all else equal.

For further details, see [Commodity Matters: Tighter Copper Scrap Market in China? \(14 May 2026\)](#)

Tightening copper scrap markets might weigh on refined copper output in China (and elsewhere): Tight copper concentrate markets have pushed China's copper smelters to use more scrap in recent years. However, tighter regulation of China's domestic scrap market – particularly full implementation of reverse invoicing and clampdown on circular invoicing – have increased compliance and tax scrutiny, raising costs and limiting the supply of compliant, invoice-bearing material. US-China trade tensions have also weighed on US scrap exports, while growing recognition of scrap's strategic importance is leading to increased policy focus, which may further restrict trade and global availability.

Secondary semi-fabricators may turn to more refined metal: With less scrap available, semi-fabricators are either lowering utilisation rates or using refined copper to feed their operations, supporting refined demand and potentially driving the rapid copper inventory draws since CNY.

Smelters face feed challenges too, potentially impacting refined output: Smelters may also face more challenges sourcing scrap and copper concentrate, weighing on metal output. Larger smelters may be more resilient though, and some may even see improved scrap availability as smaller secondary processors cease operations.

MS Outlook: A tighter scrap market brings upside risk to copper prices, all else equal, as reduced supply from scrap-based semi-fabricators, or more semis being made with refined metal, plus risk of smelter cuts, point to a tighter refined copper market. However, with copper already at all-time highs, demand may come under pressure too, providing some offset, while the clampdown on circular invoicing is also impacting spot copper trading.

Exhibit 45: Increased scrap usage at China's copper smelters has supported continued growth in output. Since 2022, smelter output has diverged from the volume of concentrate available in China, highlighting further reliance on scrap as a feedstock

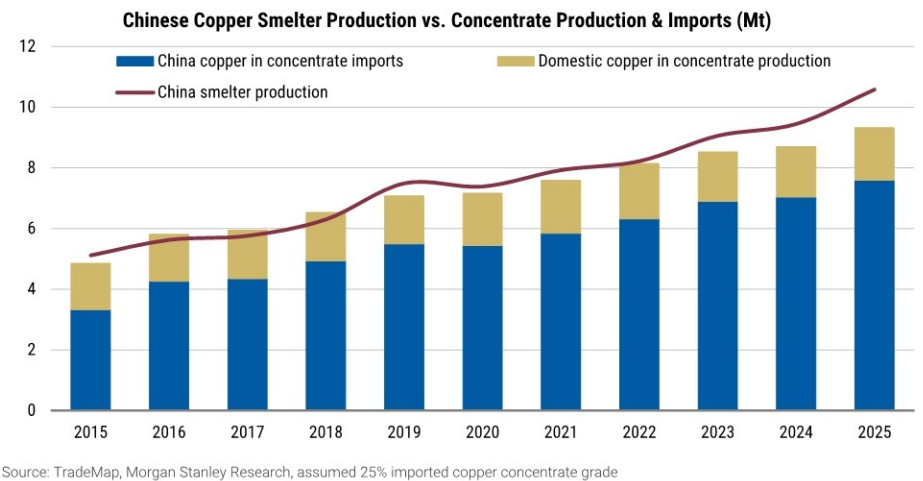


Exhibit 46: The share of secondary production at smelters (using scrap) has been rising with higher copper prices

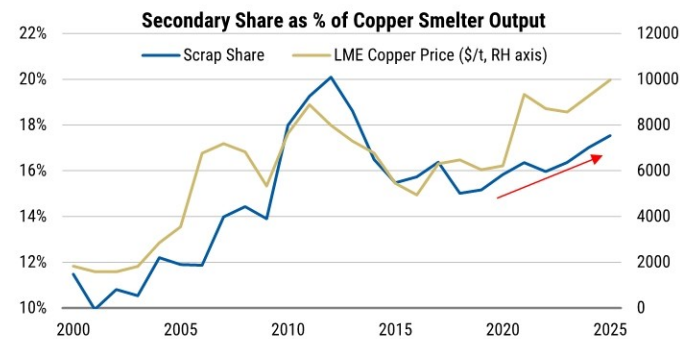
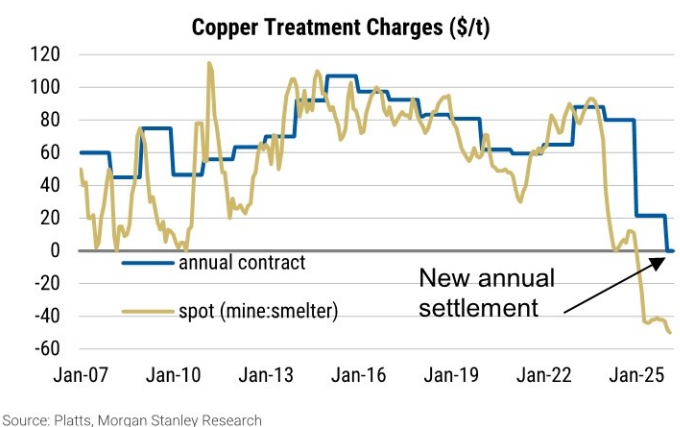


Exhibit 47: TCRCs (spot and contract) have fallen sharply with a lack of copper concentrate supply



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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: Australia Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/28/2026)
Rahul Anand, CFA		
BHP Group Ltd (BHPB.L)	O (09/19/2024)	3,274p
BHP Group Ltd (BHGJ.J)	O (09/19/2024)	ZAc 71,313
BHP Group Ltd (BHP.AX)	O (09/19/2024)	A\$62.31
Boss Energy Ltd (BOE.AX)	O (01/16/2026)	A\$1.28
Deterra Royalties Ltd (DRR.AX)	O (01/16/2026)	A\$4.50
Fortescue Metals Group Ltd. (FMG.AX)	U (01/16/2026)	A\$22.31
IGO Ltd (IGO.AX)	U (07/15/2025)	A\$9.58
Iluka Resources Ltd (ILU.AX)	O (05/22/2025)	A\$7.90
Lynas Rare Earths (LYC.AX)	E (04/14/2026)	A\$19.19
Mineral Resources Limited (MIN.AX)	++	A\$73.47
Paladin Energy Ltd (PDN.AX)	O (10/08/2025)	A\$11.32
PLS Group Ltd (PLS.AX)	E (04/14/2026)	A\$6.46
Rio Tinto Limited (RIO.AX)	E (04/09/2025)	A\$185.63
Sandfire Resources Ltd (SFR.AX)	U (12/16/2024)	A\$19.63
South32 Ltd (S32.AX)	O (12/16/2024)	A\$4.81
South32 Ltd (S32J.J)	O (12/16/2024)	ZAc 5,499
Whitehaven Coal Ltd (WHC.AX)	O (04/14/2026)	A\$8.75
Shannon J Sinha		
Nickel Industries (NIC.AX)	E (04/09/2025)	A\$1.06

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* Historical prices are not split adjusted.

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